



Connected Commerce
Council

**Response to the National Science Foundation's and Office of Science & Technology Policy's
Request for Information on the Development of an Artificial Intelligence (AI) Action Plan**

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Thank you for the opportunity to offer comments on the development of a national artificial intelligence (AI) action plan. On behalf of the Connected Commerce Council (3C) — a nonprofit organization dedicated to ensuring small businesses have the digital tools they need to thrive in today's economy — I urge you to prioritize policies that will ensure small businesses' ongoing access to and adoption of AI-powered tools.

AI is a game-changer for America's [33.2 million](#) small businesses. Its remarkable speed, "trainability," and scalability significantly enhance small businesses' efficiency and growth potential. AI-powered tools can, for example, improve marketing and advertising, streamline inventory management, boost customer service in e-commerce, and provide valuable data analysis that helps small-business owners make smarter decisions and reduce costs. By leveraging AI-powered tools, small businesses can level the playing field and compete against much bigger companies.

But these benefits can only be realized if small business leaders understand how to use AI-powered tools — and, more fundamentally, are able to access them. Accordingly, we suggest policymakers focus on three key areas:

- 1. Promoting AI literacy and training** to help small businesses effectively adopt and utilize AI technologies.
- 2. Avoiding overly burdensome regulations** that disproportionately impact small businesses and hinder innovation.
- 3. Establishing a federal AI privacy framework** to avoid a patchwork of state laws, simplifying compliance and encouraging adoption of AI tools by small businesses.

Policymakers should **support access to AI-powered tools by investing in small business-focused AI literacy and training programs**. Given AI tools' newness, many small business owners and employees may not know how to effectively harness them. To help them

learn, we suggest establishing [partnerships](#) among government agencies, universities, and technology companies. Such partnerships would help small business leaders learn how to harness AI-powered tools, and also help policymakers and tech leaders better [understand](#) how small businesses use — or could benefit from using — new AI-powered tools. Smart partnerships could help enhance small businesses' AI-powered efficiency; keep tech leaders abreast of small business needs and opportunities; and inform thoughtful policies that benefit small businesses.

We also urge policymakers to **avoid overregulating AI-powered tools**. We particularly caution against a “one-size-fits-all” regulatory approach that treats all AI applications as high-risk. Small businesses overwhelmingly use AI for low-risk, non-sensitive applications like marketing and customer service. If those uses are subject to costly, time-consuming regulatory compliance requirements, small businesses won't be able to afford them. That means AI-powered tools will be available only to bigger businesses with bigger budgets — putting small businesses at an enormous competitive disadvantage and squandering AI's efficiency-generating potential.

Accordingly, we suggest policymakers **focus on regulating AI-powered applications in sensitive contexts** such as healthcare, finance, and law enforcement, rather than broadly restricting AI development. Similarly, regulations aimed at protecting consumer privacy should focus on AI outputs — such as how AI-generated content is used — rather than restricting AI inputs, which could slow AI development and innovation. Finally, we suggest regulators avoid making all users of AI models liable for potential misuse or flaws in AI systems, as doing so makes AI use prohibitively legally risky for small businesses.

Perhaps most importantly, **we strongly recommend developing a comprehensive federal AI privacy framework that supersedes state laws** and avoids a haphazard “patchwork” of state-level regulations like that currently governing data privacy. Without a federal framework in place, AI compliance — and therefore AI-tool adoption — will be simply too complex, costly, and legally risky for small businesses. Moreover, any federal-level policies must — while protecting individuals' privacy — bear in mind that training AI models requires publicly available data. We recommend a balanced approach to data and copyright regulations and particularly encourage a fair use-based approach to copyright questions, as well as text- and data-mining exemptions. This approach will ensure ongoing innovation and development of top-tier AI models, benefitting U.S. businesses of all sizes. Indeed, **a federal standard that provides a smart alternative to overly restrictive European AI privacy laws is critical to maintaining and enhancing America's leadership in AI innovation and adoption.**

Fundamentally, 3C seeks not only to ensure that small businesses have the digital tools they need to thrive, but that America's technological, policy, and legal ecosystems continue to foster tools that allow America's businesses and economy to flourish. We look forward to working with policymakers to ensure U.S. innovation, leadership, and small-business success in today's digital economy.